

Skills, Knowledge and Expertise

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1

Application and Definitions

1.1

Unless otherwise stated, this Part applies to a _CRR firm_

1. (1) with respect to the carrying on of the following from an establishment in the _UK_ :

1. (a) _regulated activities_ ;
 2. (b) activities that constitute _dealing in investments as principal_ , disregarding the exclusion in article 15 of _Regulated Activities Order_ ;
 3. (c) _ancillary activities_ ;
 4. (d) in relation to _MiFID business, ancillary services_; and
 5. (e) _unregulated activities_ in a _prudential context_ ;
2. (2) [deleted.]
3. (3) in a _prudential context_ with respect to activities wherever they are carried on; and
4. (4) taking into account any activity of other members of a _group_ of which the _firm_ is a member.

1.1A

2.1A to 2.1B do not apply to a _firm_ with respect to the carrying on of _benchmarking activities_ except to the extent that before _IP completion day_ , they were made to transpose an _EU instrument_.

1.2

In this Part, the following definitions shall apply:

Article 21 Skills Requirements

means requirements and obligations as set out in Article 21(1)(b),(d),(g) (General Organisational Requirements) of the _MODR_.

other matters

means, in relation to a requirement under the _MODR_ , matters within the scope of 1.1 that are not within the scope of that requirement.

2

Skills, Knowledge and Expertise

2.1

[Deleted.]

2.1A

A _MiFID investment firm_ must extend the arrangements required by the _Article 21 Skills Requirements_ so they also apply with respect to _other matters_ on the basis that references to ?relevant persons? are references to _relevant persons_.

2.1B

A _firm_ that is not a _MiFID investment firm_ must comply with the _Article 21 Skills Requirements_ on the basis set out in 2.1A and as if references to ?investment firm? refer to a _firm_.

3

Segregation of Functions

3.1

[Deleted.]

3.2

A _firm_ must ensure that its _senior personnel_ define arrangements concerning the segregation of duties within the _firm_ and the prevention of conflicts of interest.

[Note: Art. 88 of the _CRD_ and Art. 9(1) of _MiFID II_]

4

Awareness of Procedures (Deleted)

4.1

[Deleted.]

5

General (Deleted)

5.1

[Deleted.]

5.2

[Deleted.]

6

Group Arrangements

6.1

Where an _Article 109 undertaking_ is a member of a _consolidation group_ or _sub-consolidation group_ , it must

ensure that the risk management processes and internal control mechanisms at the level of the _consolidation group_ or _sub-consolidation group_ of which it is a member comply with the obligations set out in 3.2 on a _consolidated basis_ or a _sub-consolidated basis_.

6.1A

Where this Part applies on a _consolidated basis_ or on a _sub-consolidated basis_ , an _Article 109 undertaking_ must carry out consolidation to the same extent and in the same manner as it is required to comply with the obligations laid down in Parts Two to Eight of the _CRR_ on a _consolidated basis_ or sub-consolidated basis.

* Future version of 6.1A after 01/01/2027

6.2

Compliance with the obligations referred to in 6.1 must enable the _consolidation group_ or _sub-consolidation group_ to have arrangements, processes and mechanisms that are consistent and well integrated and that any data relevant to the purpose of supervision can be produced.

[Note: Art 109(2) of the _CRD_]